

Suspension of Countervailing Duties on Phosphate Fertilizer: Options for Congress

September 29, 2026

On June 29, 2026, President Donald J. Trump, citing [Section 318\(a\) of the Tariff Act of 1930 \(19 U.S.C. 1318\(a\)\)](#), [proclaimed](#) an emergency and authorized the Secretary of Commerce to suspend the collection of [countervailing duties](#) (CVDs; tariffs that offset foreign subsidies) on phosphate fertilizer from Morocco that have been in effect since 2021. Farmers commonly apply phosphate fertilizers to provide essential elements for the growth of corn, cotton, soybeans, wheat, and other crops. U.S. prices for certain phosphate fertilizers [increased](#) after the escalation of the U.S. conflict with Iran in February 2026 to their highest levels since September 2025. Some [U.S. agricultural groups favor removing CVDs on fertilizer imports](#) as a means of lowering U.S. fertilizer prices. In contrast, certain [U.S. fertilizer manufacturers support the CVDs](#) to address foreign government support of foreign phosphate fertilizer manufacturers. Citing costs to farmers, some Members of Congress have [urged](#) the U.S. International Trade Commission (ITC) to revoke the CVDs or [supported](#) their suspension through legislation (e.g., S. 4418, H.R. 8583). Other Members in prior years have supported the CVDs, citing [unfair trade practices harming the U.S. fertilizer industry](#) and the importance of [ensuring U.S. food security](#).

Phosphate Fertilizer Imports

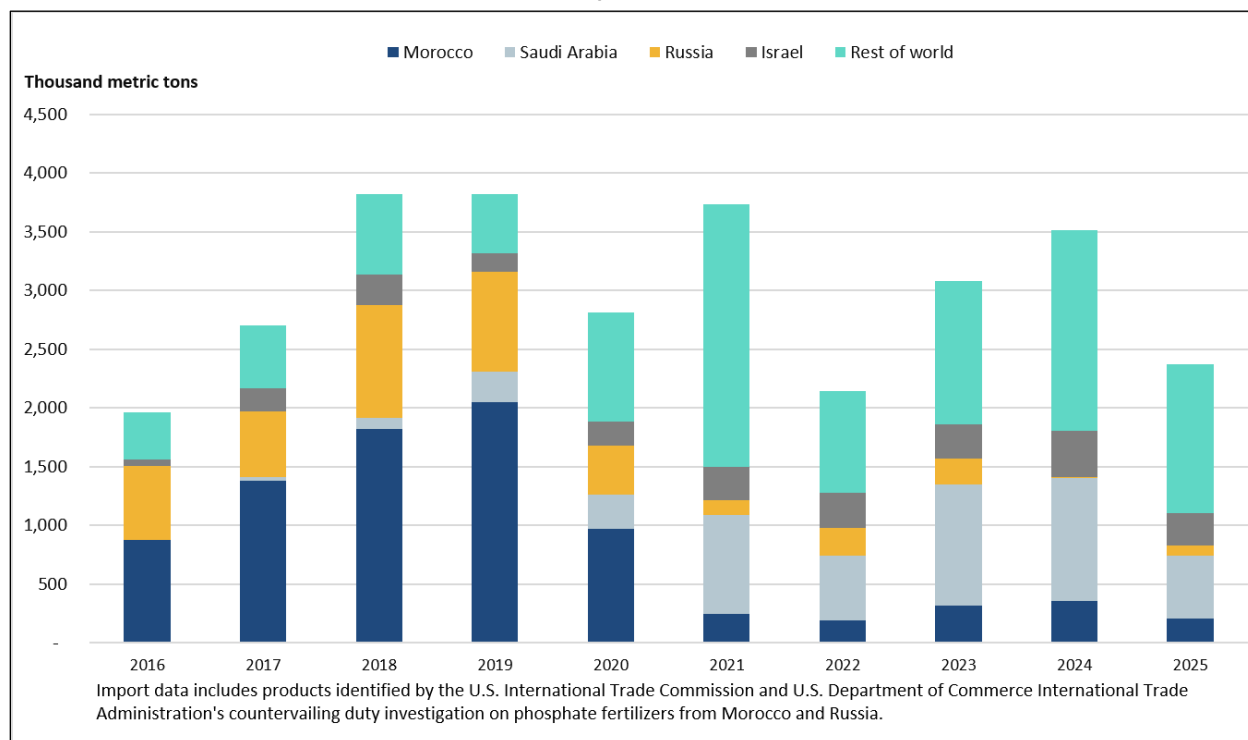
From 2016 to 2025, U.S. imports of phosphate fertilizers averaged nearly 3 million metric tons annually (**Figure 1**). Morocco, Russia, Saudi Arabia, and Israel were the main foreign suppliers of phosphate fertilizers to the United States over this period. From 2016 to 2019, Morocco and Russia accounted on average for about 74% of U.S. phosphate fertilizer imports. In 2021, the United States imposed CVDs on phosphate fertilizers from Morocco and Russia. Following this action, U.S. imports of Moroccan and Russian phosphate fertilizer declined, and imports from Saudi Arabia, Israel, and other trading partners increased.

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Figure I. U.S. Imports of Phosphate Fertilizers, by Country of Origin
Calendar years 2016-2025



Source: CRS using Trade Data Monitor, downloaded August 17, 2026.

CVDs on Phosphate Fertilizers

In June 2020, The Mosaic Company, the largest U.S. producer of phosphate fertilizers, [petitioned the U.S. Department of Commerce \(Commerce\) and the ITC](#) for CVDs on phosphate fertilizers from Morocco and Russia. Mosaic alleged that certain imports of Moroccan and Russian phosphate fertilizers benefited from countervailable subsidies and injured U.S. industry. Commerce [determined](#) that Morocco and Russia were providing countervailable subsidies to producers and exporters of phosphate fertilizers. The ITC [found](#) a reasonable indication that the U.S. industry was being “materially injured by reason of imports of phosphate fertilizers” from both countries. As a result, Commerce [imposed](#) CVDs in 2021.

In early 2026, some agricultural stakeholders urged the President and the Secretary of Commerce [to suspend or revoke](#) the CVDs on imported fertilizer products. On June 29, 2026, the President [declared](#) an emergency, citing Section 318(a), and authorized Commerce to suspend the collection of CVDs for Moroccan (not Russian) phosphate fertilizer. Shortly thereafter, Commerce issued [instructions](#) for importers seeking duty-free entry. As of September, Commerce had [granted requests](#) to several importers.

Options for Congress

Amending CVDs on Phosphate Fertilizers and CVD Law

Some Members of Congress have [asserted that the CVDs contribute to higher fertilizer prices](#) for downstream users, such as farmers. Congress could advocate for executive action or enact legislation to suspend these particular duties, such as S. 4418 and H.R. 8583.

By law, ITC [does not consider the impact of a CVD](#) on downstream users of imported products (e.g., users of imported fertilizer) in CVD determinations. Congress could amend CVD law to require the ITC to consider the impact of any CVDs on downstream users.

Clarifying the Uncertain Scope of Section 318

[Enacted in 1930](#), Section 318(a) [authorizes](#) the Secretary of the Treasury to permit “the importation free of duty of food, clothing, and medical, surgical, and other supplies for use in emergency relief work.” After 1946, the provision went unused until 2022 when President Biden [suspended](#) the collection of CVDs on certain solar cells and panel imports. In the litigation that followed, the U.S. Court of International Trade [held](#) that the covered solar cells and modules did not qualify as “other supplies for use in emergency relief work.” Appeals from that decision remain pending before the Federal Circuit; a decision could have implications for how a court would determine whether phosphate fertilizers fit within the scope of Section 318(a) should an interested party challenge the action.

Depending on whether it approves or disapproves of the President’s action, Congress could amend Section 318(a) to clarify, narrow, or expand the category of items eligible for duty-free treatment under that authority, or await a legal determination of the scope of the current language before acting.

Terminating the Suspension

In addition to ordinary legislation, if certain conditions are met, Members could potentially use expedited procedures in two different disapproval mechanisms.

The [Congressional Review Act](#) (CRA) allows Congress to use [fast-track procedures](#) to overturn agency actions that are covered by its definition of “rule.” Following President Biden’s 2022 invocation of Section 318(a), the 118th Congress passed H.J.Res. 39 to overturn [Commerce’s implementing rule](#) under the CRA. Biden [vetoed](#) the resolution, and Congress did not override the veto. To use the CRA, a rule must be [submitted to Congress](#) or a Member must have obtained a [legal opinion from the Government Accountability Office \(GAO\)](#) stating that a rule *should have* been submitted. To date, it appears that no rule has been submitted.

The [National Emergencies Act](#) (NEA) allows Members to introduce a joint resolution to terminate a national emergency, which is eligible for [expedited consideration](#). Whether the NEA governs an emergency declared under Section 318(a) is uncertain. Commerce previously [asserted](#) that Section 318(a) supplies independent emergency authority. However, at least one [commenter](#) (in 2022) and the [Treasury Department](#) (in 1974) have asserted that Section 318 is subject to the NEA. The availability of the NEA’s expedited procedures therefore would depend on how the Parliamentarians resolve that question.

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